IN THE NATIONAL COMPANY LAW TRIBUNAL
DIVISION BENCH, CHENNAI

CA No/162 & 163/CAA/2018

Under section 230 to 232 of the Companies Act, 2013

In the matter of Scheme of Arrangement
Between
M/s. SUNDARAM AUTO COMPONENTS LIMITED
(CIN: U29249TN1992PLC051417)
(Demerged Company)
With
M/s. TVS MOTOR SERVICES LIMITED
(CIN: U50404TN2009PLC071075)
(Resulting Company)
And
Their Respective Shareholders and Creditors

Order delivered on: 11.09.2018

Coram:
K. Anantha Padmanabha Swamy, Member (Judicial)
S. Vijayaraghavan, Member (Technical)

For the Petitioners: *Shri. R. Sankarnarayanan, Sr. Advocate*
Shri. N.P. Vijay Kumar, Advocate
Shri. R. Pradeep, Advocate

ORDER

Per: K. ANANTHA PADMANABHA SWAMY, MEMBER (J)

Under Consideration are two Company Application nos. CA/162/CAA/2018 and CA/163/CAA/2018 filed under section 230 of the Companies Act, 2013 r/w the Companies (Compromises, Arrangements and Amalgamations) Rules 2016. The instant Company Applications in the matter of the Scheme of Arrangement (Demerger) by virtue of which of *"Automobile Business"* undertaking of *M/s.*

Sundaram Auto Components Limited (hereafter refereed as **"Demerged Company"**) and *M/s. TVS Motor Services Limited* (hereafter referred as **"Resulting Company"**).

The Applicant companies through the applications have prayed for seeking directions:

a) For dispensing with the convening and holding of the meeting of the Equity shareholders of the **Demerged Company**;

b) For convening, holding and conducting of the meeting of Secured Creditors of the **Demerged Company**, fix the date, time, place, quorum and appointment of Chairman for the meeting;

c) For convening, holding and conducting of the meeting of unsecured Creditors of the **Demerged Company** carrying outstanding more than Rs. 10,00,000/- and fix the date, time, place, quorum and appointment of Chairman for the meeting;

d) For dispensing with the convening and holding of the meeting of the Equity and Preference shareholders of the **Resulting Company**;

e) For dispensing with the convening and holding of the meeting of Secured and unsecured Creditors of the **Resulting Company**

1. M/s. Sundaram Auto Components Limited (Demerged Company).

i) The Demerged Company viz., M/s. Sundaram Auto Components Limited, is an Unlisted Public Limited Company, it was incorporated on 10.06.1992, under the Companies Act, 1956. The Demerged Company is a Wholly Owned Subsidiary of M/s. TVS Motor Company Limited

and 100% of the equity shares are held by the TVS Motor Company Limited. The Demerged Company has 7 (Seven) Equity Shareholders. The list of equity shareholders is placed at page 183 of the typed set, certified by **M/s. V. Sankar Aiyar & Co.,** Chartered Accountants filed with the Application. The consent affidavits from Equity Shareholder of the Demerged Company representing 100% held by the equity shares is placed at pages 184 and 185 of the typed set filed with the Application, wherein it has been deposed that they do support the Scheme and consent to dispense with convening, holding and conducting the meeting of Equity shareholders. Since all the requirements under law have been fulfilled, the meetings of the equity shareholders of the Demerged Company is allowed to be dispensed with.

ii) There are 5(Five) Secured Creditors of the Demerged Company, whose particulars are placed at page 186 in the typed set and same has been certified by **M/s. V. Sankar Aiyar & Co.,** Chartered Accountants.

iii) This Bench appoints Mr. H. Lakshmanan, Chairman, failing him, Mr. C.N Prasad, Director as Chairman for conducting the meeting of Secured Creditors on 26.10.2018 at 03:00 P.M at "Jayalakshmi Estates", Second Floor, No.29(8), Haddows Road, Chennai-600006. The quorum for meeting of the Secured Creditors shall be 3 in number and constituting 25% or more of the Secured credit or such a number which is mentioned in the application, whichever is higher. In case, the said quorum is not present at fixed time for meeting, the meeting shall be adjourned by half

an hour and thereafter, the persons present for voting shall be deemed to constitute the quorum.

iv) There are 752(Seven Hundred and Fifty Two) Unsecured Creditors of the Demerged Company, list of the unsecured creditors are placed at page no's 187 to 204 in the typed set and same has been certified by **M/s. V. Sankar Aiyar & Co.,** Chartered Accountants.

v) This Bench appoints Mr. H. Lakshmanan, Chairman, failing him, Mr. C.N Prasad, Director as Chairman for conducting the meeting of Unsecured Creditors (Over Rs. Ten Lakhs) on 26.10.2018 at 04:00 P.M at "Jayalakshmi Estates", Second Floor, No.29(8), Haddows Road, Chennai-600006. The quorum for meeting of the unsecured Creditors shall be 30 in number and constituting 25% or more of the unsecured credit or such a number which is mentioned in the application, whichever is higher. In case, the said quorum is not present at fixed time for meeting, the meeting shall be adjourned by half an hour and thereafter, the persons present for voting shall be deemed to constitute the quorum.

vi) The notices in respect of the above meetings of secured and unsecured creditors have to send at least not less than 30 days prior to date fixed for meeting. The services of notice shall be effected by speed post/through electronic means, to the e-mail address of the members which are available with the Applicant Company.

2. **M/s. TVS MOTOR SERVICES LIMITED** (Resulting Company).

i) The Resulting Company viz., M/s. TVS Motor Services Limited is an unlisted Public Limited Company, it was incorporated on 23.03.2009, under the Companies Act, 1956. The Resulting Company is a Wholly Owned Subsidiary of M/s. TVS Motor Company Limited and 100% of the equity and preference shares are held by the M/s. TVS Motor Company Limited. The Resulting Company has 7 (Seven) Equity Shareholders and One Preference share holder. The list of equity and preference shareholders are placed at page 114 of the typed set and same has been certified by **M/s. V. Sankar Aiyar & Co.,** Chartered Accountants filed with the Application. The consent affidavits from Equity and Preference Shareholders of the Resulting Company representing 100% of the Equity and Preference shareholders are placed at pages 115 to 118 of the typed set filed with the Application, wherein it has been deposed that they do support the Scheme and consent to dispense with convening, holding and conducting the meeting of Equity and preference shareholders. Since all the requirements under law have been fulfilled, the meetings of the equity and Preference shareholders of the Resulting Company is allowed to be dispensed with.

ii) There are no Secured Creditors as on 31.03.2018 of the Resulting Company, whose particulars are placed at page 119 in the typed set and same has been certified by **M/s. V. Sankar Aiyar & Co.,** Chartered Accountants. Hence, there is no need to convene a meeting of Secured Creditors.

iii) There is one Unsecured Creditor as on 31.03.2018 of the Resulting Company, whose particulars are placed at page 120 in the typed set and same has been certified by **M/s. V. Sankar Aiyar & Co.,** Chartered Accountants. The Unsecured Secured Creditor has given consent affidavit which is placed at page 121 & 122 of the typed set filed with the Application. The value of the consenting unsecured credit is Rs. 140.8 crores. Therefore, the meeting of the unsecured creditors is allowed to be dispensed with under clause (9) of the Section 230 of the Companies Act, 2013.

3. Looking to the prayers made in the application by the Demerged and Resulting Companies in relation to the Scheme of Arrangement, this Bench hereby directs in term of under clause (5) of the section 230 and under sub-section (3) of the Companies Act, 2013 to issue of notices to the Regional Director, Ministry of Corporate Affairs, ROC concerned, Income Tax Authorities and such other sectorial regulators or authorities, if necessary. In case the scheme is exempted under the Competition Act, 2002, an affidavit to this effect is to be given. Otherwise, notice to CCI may also be issued. Since both the Demerged and Resulting are unlisted Public Limited Companies, there is no need to issue notices to SEBI and to the Stock Exchanges. The authorities are directed to make objections/representations, if any, within 30 days from the date of the receipt of notice. In case no objection/representation is received within the stipulated time it shall be deemed that they do not have any objections.

4. The Demerged Company and Resulting Companies are directed to make separate publication of notices in newspapers one in English and the other in vernacular language, preferably in **Business Standard (English Edition)** and **Makkal Kural (Tamil Edition)** having wide circulation in the State of Tamil Nadu, not less than 30 days before the next date of hearing of the petition. The Applicant Companies are directed to place the notice on their website, if any, and also place the same on the notice board at the registered office of the company. The Applicant Companies are also directed to send private notices to the authorities by way of speed post and file the proof of sending and effecting service of notices along with the paper publication by way of an affidavit before the next date of hearing. The Registry is also directed to display the notice on the notice board of the NCLT, Chennai.

5. The petition to be presented on or before 22.11.2018.

S. Vijayaraghavan
Member (Technical)

K. Anantha Padmanabha Swamy
Member (Judicial)

TJS